

**2011****M B A****4th Semester Examination****MANAGEMENT OF FINANCIAL SERVICES****(Specialization : Financial Management)****PAPER—F 404****Full Marks : 100****Time : 3 Hours**

*The figures in the right-hand margin indicate full marks.*

*Candidates are required to give their answers in their own words as far as practicable.*

*Illustrate the answers wherever necessary.*

***Write the answers to Questions of each Half in separate books.***

**First Half****(Marks : 50)**

- 1. Answer any four from the following questions : 5×4**
- (a) Briefly describe the functions of the financial system.
  - (b) Distinguish between primary market and secondary market.
  - (c) Explain two capital market ownership instruments / securities.
  - (d) What is listing of securities? Is listing of securities compulsory under the Companies Act, 1956?
  - (e) Explain briefly 'Corporatisation' and 'demutualisation' of stock exchanges in India.
  - (f) 'Leasing is an off-balance sheet financing source.' — Critically examine the statement.

*(Turn Over)*

2. Answer any two from the following questions : 10×2
- (a) Discuss about the key financial intermediaries in India.
  - (b) 'The organisation of the Indian financial system in the post-91 period has undergone profound transformation.' Elaborate.
  - (c) (i) Distinguish between 'full payout lease' and 'service lease'.  
(ii) Distinguish between 'Seed Capital' and 'Start-up' in venture capital financing. 5+5

**[ Internal Assessment : 10 ]**

**Second Half**

(Marks : 50)

3. Answer any four questions from the following : 5×4
- (a) What are the objectives of National Housing Bank to promote housing finance in India?
  - (b) Briefly discuss the important functions rendered by a Merchant Banker.
  - (c) What are the major sources of funding of Housing Finance Companies (HFCs)?
  - (d) Write a short note on 'Portfolio Management' as an important function of a Merchant Banker.
  - (e) Distinguish between Export Factoring and Forfeiting.
  - (f) What are the factors to be considered by a credit rating agency before awarding credit rating to a company?
4. Answer any two questions from the following : 10×2
- (a) Describe the Housing Finance System in India. 10
  - (b) (i) What do you mean by Factoring?  
(ii) What are the services provided by a Factor?  
(iii) Briefly discuss the mechanism of factoring services. 2+4+4
  - (c) (i) Mention the benefits of credit rating from the view point of investors and company.  
(ii) Write a short note on CRISIL. 6+4

**[ Internal Assessment : 10 ]**